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China Economics

Export Momentum Broadens but Headwinds Loom

CITI'S TAKE

China's export engine strengthened markedly in September, with growth reaching a seven-month high and the trade surplus widening to a record US$133.5bn. AI demand remained the key driver, as surging IC and PC shipments contributed around 13ppt to export growth. However, this strong momentum is unlikely to be sustained, we expect the export engine to cool down next year. Citi expects global AI capex growth to moderate from 106% in 2026E to 56% in 2027E, cooling China's AI exports, while elevated rates and energy uncertainty could weigh on non-AI trade. The US-China trade truce appears fragile and leader-level engagement could become less frequent next year, and unresolved EU-China trade imbalances remain a key external policy risk.

Yuanliu Hu [AC]
+852-2501-2746
yuanliu.hu@citi.com

Xiangrong Yu [AC]
+852-2501-2754
xiangrong.yu@citi.com

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China's exports and imports both strengthened further in September. Export growth surged to 36.3%YoY from 25.0% in August, significantly exceeding expectations (Citi/market: 24.5%/25.7%). Imports also accelerated to 31.0%YoY from 28.2%, above market expectations (Citi/Mkt: 24.0%/25.0%). As a result, the monthly trade surplus widened to a record US$133.5bn, the fastest since Feb 2025. For 26Q3, exports grew 28.1%YoY vs. 20.1% in Q2, while imports slowed marginally to 28.9% YoY from 29.4%. The stronger export performance should provide solid support to real GDP growth in 3Q26.

Robust AI-related demand, broad-based regional supply-chain strength and a rebound in refined-oil exports supported export growth.

- **By partner, export growth strengthened broadly across major markets, led by tech-heavy destinations, ASEAN and US**. Exports to ASEAN accelerated sharply (Sep: 52.3% vs. Aug: 30.2%), with shipments to Malaysia, Thailand and Vietnam sustaining strong growth. Shipments to the US accelerated (39.6% vs. 34.4%) with extended the bilateral trade truce, after the Trump-Xi meeting. Exports to the EU rebounded sharply (25.3% vs. 6.6%) from August's ten-month low. Among tech-heavy destinations, exports to South Korea (68.2% vs. 49.3%) and Taiwan (68.9% vs. 43.7%) strengthened further, while those to Japan also quickened (15.8% vs. 8.2%). Elsewhere, export growth to Africa moderated (16.1% vs. 30.9%), following strong growth in the previous month, while those to Latam accelerated to 3-month high (24.7% vs. 17.5%).

- **By product, AI hardware and transport-equipment exports strengthened, while the normalization of refined-oil shipments provided an additional boost**. Exports of mechanical and electrical products (M&E) accelerated to a 7-month high (43.7% vs. 32.8%) and high-tech products exports strengthened further (63.6% vs. 56.9%). Labor-intensive goods also improved markedly (24.4% vs. 10.2%). Supported by the global AI supercycle, IC exports continued to surge (136.0% vs. 129.8%), while PC exports accelerated (92.9% vs. 76.5%). Together, the two categories contributed around 13ppt to headline export growth. However, mobile phone exports moderated (14.2% vs. 29.6%), partly reflecting an unfavorable base and softer demand amid higher prices. Transport equipment regained momentum, with auto exports strengthening (62.0% vs. 43.0%), although ship exports slowed more visibly (2.7% vs. 21.0%). Refined petroleum product exports surged further (125.1% vs. 80.5%) after China relaxed export restrictions in July.

Import growth remained heavily tech-led, while commodity volumes showed mixed pictures.

- **By partner, import growth strengthened across major emerging markets, while purchases from Asian technology hubs moderated marginally.** Imports from ASEAN edged higher (36.2% vs. 35.0%), and those from Latam (17.2% vs. 12.4%), and Africa (14.2% vs. 3.7%) rebounded significantly. Imports from the US also quickened to 3-month high (20.7% vs. 17.8%). By contrast, imports from the EU remained broadly flat (0.7% vs. 0.7%), reinforcing concerns over the trade imbalance. Asian technology hubs moderated partly due to higher base, those from South Korea moderated but remained very strong (94.3% vs. 108.1%). Purchases from Taiwan also eased but stayed robust (34.2% vs. 41.5%), while imports from Japan moderated (15.4% vs. 20.0%). Imports from Russia (43.0% vs. 47.0%) and Australia (25.4% vs. 44.6%) moderated from elevated levels.

- **By product, import composition continued to point to strong technology demand.** PC imports surged further to a new high (296.5% vs. 209.1%), while IC

imports moderated but remained very strong (74.7% vs. 83.6%). Together, the two categories contributed around 22ppt to headline export growth. With domestic brands continuing to gain market share, auto imports contracted more deeply (-38.1% vs. -32.4%). Among commodities, higher prices lifted crude-oil import values back to growth (3.3% vs. -8.8%), although volumes remained in deep contraction (-21.5% vs. -23.4%). Coal import values moderated slightly (45.3% vs. 48.6%), while volumes declined more (-5.7% vs. -1.5%). Iron-ore imports contracted in both value (-7.4% vs. 6.2%) and volume terms (-5.6% vs. 3.1%). Soybean import values moderated (2.8% vs. 7.3%), while volumes fell more sharply (-7.7% vs. -1.1%).

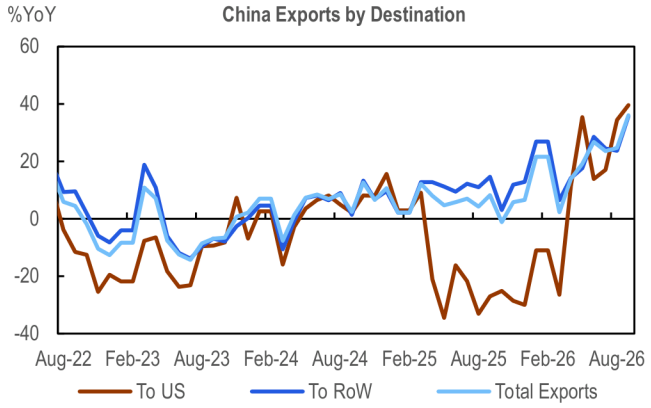
September's trade data highlighted the continued strength of China's export engine, with AI-related products remaining the primary driver. Export growth accelerated to a seven month high, as surging IC and PC shipments, stronger Asian supply-chain demand, and firmer exports to the US and EU more than offset weakness in selected traditional products. Export prices rose 15.1%YoY in August, providing an important boost to the headline growth. However, we expect the export engine to cool down next year. Citi expects global AI capex growth to moderate from 106% in 2026E to 56% in 2027E, suggesting a gradual cooling in China's AI export momentum next year. Higher interest rates and energy uncertainty could weigh further on non-AI trade. Meanwhile, external policy uncertainty remains elevated. China-US leader level engagement is likely to become less frequent next year and the trade truce appears fragile. The recent China-EU hybrid vehicle agreement may ease near-term tensions without resolving the structural trade imbalance. The elevated trade surplus and decade high settlement flows would be supportive for RMB appreciation this year.

Figure 1. China's exports and imports both strengthened further in September



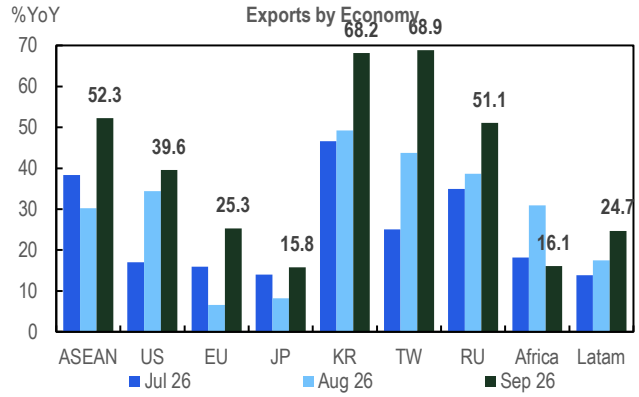
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Figure 2. Shipments to the US accelerated after the Trump-Xi Summit in September



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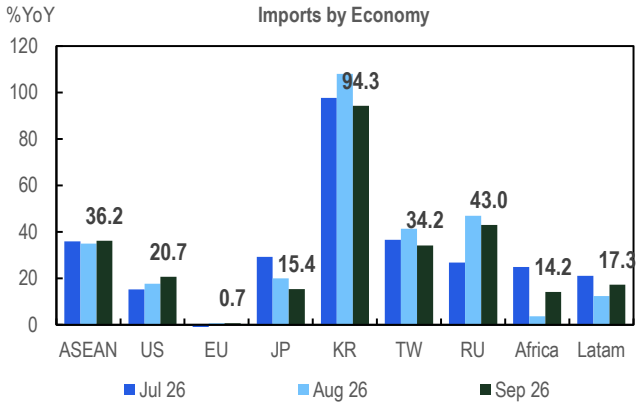
Figure 3. Export growth strengthened broadly across major markets



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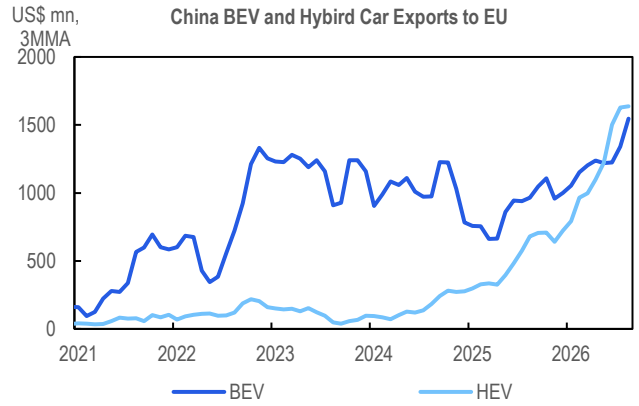
Figure 4. Import growth from Asian technology hubs moderated marginally



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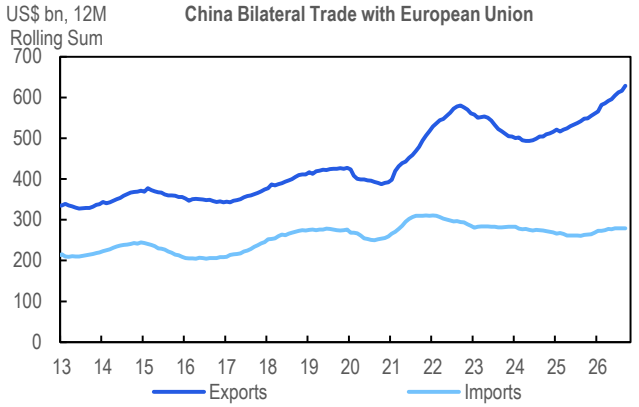
Figure 5. China-EU hybrid vehicle agreement offers only a near-term compromise



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Figure 6. Trade imbalance with the EU expanded further in September, with trade surplus growing to US$34.8bn



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